

Notes: Aghion & Tirole (JPE, 1997)

Formal and Real Authority in Organizations

Contents

1	Big picture	3
2	Incremental contribution of the paper	3
3	Model primitives and measurement	4
3.1	Players, projects, and authority	4
3.2	Information acquisition	4
3.3	Formal authority regimes	4
3.4	Control and initiative	5
4	Models and theoretical specifications	5
4.1	Payoffs under P-formal authority	5
4.2	Payoffs under A-formal authority	5
4.3	Reaction curves under P-formal authority	5
4.4	Reaction curves under delegation	6
4.5	Participation view of delegation	6
4.6	Authority and communication	6
4.7	Span of control and overload	6
4.8	Performance measurement and monetary incentives	7
4.9	Urgency and sequential decisions	7
5	Theoretical design and credibility of the mechanism	7
5.1	What identifies the model's mechanism	7
5.2	Why the formal/real authority distinction matters	7
5.3	What the paper cannot fully prove	8
6	Model blocks	9
6.1	Extracted Block 1: Payoffs under P-formal authority and A-formal authority; Extracted Block 2: Basic trade-off between loss of control and initiative	9
6.2	Extracted Block 3: Delegation reaction curves; Extracted Block 4: Participation view of delegation	9
6.3	Extracted Block 5: Authority and communication; Extracted Block 6: Span of control, overload, and initiative	10
6.4	Extracted Block 7: Performance measurement and monetary incentives; Extracted Block 8: Urgency and optimal stopping	11
7	Short summary	12

8	Conclusion	12
8.1	Core conclusion	12
8.2	Economic intuition	13
8.3	Incremental contribution revisited	13
8.4	Implications for organizational design	13
8.5	Implications for management practice	13
8.6	Empirical implications	13
8.7	Limitations and boundaries	13
8.8	Takeaway	13

1 Big picture

- **Question.** How should organizations allocate formal authority—the legal right to decide—when real authority—effective control over decisions—depends on who is informed?
- **Core distinction.** Formal authority is the right to overrule. Real authority is the ability to make the decision that is actually implemented. A superior can have formal authority but little real authority if she is uninformed and the subordinate is better informed.
- **Central mechanism.** Delegating authority encourages the agent to acquire information and show initiative. But delegation also reduces the principal's control over the final decision.
- **Control versus initiative.** Centralization protects the principal from noncongruent decisions, but it reduces subordinate effort because the agent expects to be overruled. Delegation motivates initiative, but it can implement projects that are worse for the principal.
- **Formal authority is not enough.** Even when the principal formally controls the decision, overload, urgency, reputation, lenient rules, weak communication, performance measurement, and multiple principals can shift real authority to the agent.
- **Communication is endogenous.** The agent may or may not communicate private information to the principal. Communication depends on formal authority and on the congruence of preferences.
- **Organizational implications.** Delegation, empowerment, decentralized divisions, M-form structures, incentive pay, span of control, and reputation for forbearance can all be interpreted as devices that trade control for initiative.
- **Economic takeaway.** Authority in organizations is not identical to ownership or legal decision rights. Effective authority is determined by information, incentives, and credibility constraints.

2 Incremental contribution of the paper

- **From ownership to authority inside organizations.** Grossman–Hart–Moore property-rights theory studies residual control rights over assets. Aghion and Tirole apply the logic of control rights to internal organizational decisions and separate *formal* control from *real* control.
- **New conceptual distinction.** The paper introduces a durable distinction between formal authority and real authority. This distinction became central in organizational economics because it explains why legal control may not translate into actual control.
- **Endogenous information and initiative.** Earlier models often treated information as exogenous. Here, information acquisition is chosen by the principal and agent; the authority allocation changes who has incentives to become informed.
- **A theory of delegation without complete contracts.** Delegation is valuable not because the agent is inherently better, but because delegating decision rights changes his expected payoff from gathering information.
- **Formal integration can coexist with real decentralization.** The paper explains why a firm may be formally integrated yet operate with substantial real authority for divisions, managers, or employees.
- **Many management practices unified.** The model provides one framework for decentralization, empowerment, span of control, corporate headquarters overload, dual top management, incentive pay, reputation for tolerance, and multiple-superior governance.
- **Communication channel.** The paper adds a subtle point: more formal authority for the principal can either increase or reduce communication, depending on whether the agent wants the principal to be better informed.

- **Empirical agenda.** It gives testable implications: delegation should be associated with private benefits for agents, low principal stakes, high congruence, hard-to-measure activities, overload, urgency, and better performance measurement.

3 Model primitives and measurement

3.1 Players, projects, and authority

- There is a principal P and an agent A .
- The organization can implement one project, or no project.
- The agent screens among $n \geq 3$ ex ante identical projects.
- For project k , the principal receives verifiable monetary payoff B_k and the agent receives private benefit b_k .
- The principal's favorite project yields payoff B to the principal and expected private benefit βb to the agent.
- The agent's favorite project yields private benefit b to the agent and expected profit αB to the principal.

Interpretation: The parameters α and β measure preference congruence. High α means the agent's preferred project is not too bad for the principal. High β means the principal's preferred project is not too bad for the agent.

3.2 Information acquisition

- The agent chooses effort e and becomes informed with probability e at cost $g_A(e)$.
- The principal chooses effort E and becomes informed with probability E at cost $g_P(E)$.
- Both cost functions are increasing and strictly convex.
- Information can be hard or soft. Hard information can be verified; soft information is only a recommendation.

Interpretation: Real authority depends on who actually becomes informed. If the principal is uninformed and the agent is informed, the agent may control the decision even when the principal has formal authority.

3.3 Formal authority regimes

- **P-formal authority / integration:** the principal has the formal right to decide and can overrule the agent if she is informed.
- **A-formal authority / delegation:** the agent has the formal right to decide and cannot be overruled when informed.
- **Intermediate authority:** control rights can be delegated over some decisions but not others, or can be contingent on circumstances.

Interpretation: The paper treats authority as a contractual allocation of decision rights. But the person with the right to decide may not be the person with effective control.

3.4 Control and initiative

- The principal values control because it prevents the agent from choosing a noncongruent project.
- The agent values initiative because effort makes it more likely that he can choose or influence the implemented project.
- Under centralization, more principal monitoring reduces the agent's expected real authority.
- Under delegation, the agent expects more control and therefore works harder to become informed.

Interpretation: The central trade-off is not merely “principal has information versus agent has information.” It is that formal authority changes the incentives to *produce* information.

4 Models and theoretical specifications

4.1 Payoffs under P-formal authority

Under P-formal authority, the principal can overrule the agent when she is informed. The principal's expected payoff is

$$u_P = EB + (1 - E)e\alpha B - g_P(E),$$

and the agent's expected utility is

$$u_A = E\beta b + (1 - E)eb - g_A(e).$$

Interpretation: With probability E , the principal is informed and chooses her own preferred project. With probability $1 - E$, the principal is uninformed; if the agent is informed, his project is accepted. The agent's initiative is valuable to him only when the principal does not intervene.

4.2 Payoffs under A-formal authority

Under A-formal authority, the agent has the decision right. If the agent is informed, he chooses his preferred project. The utilities become

$$u_P^d = e\alpha B + (1 - e)EB - g_P(E),$$

$$u_A^d = eb + (1 - e)E\beta b - g_A(e).$$

Interpretation: Delegation increases the agent's payoff from becoming informed because being informed gives him direct control. It reduces the principal's direct control because the agent cannot be overruled.

4.3 Reaction curves under P-formal authority

The first-order conditions under P-formal authority are

$$(1 - \alpha e)B = g'_P(E),$$

$$(1 - E)b = g'_A(e).$$

Interpretation: The principal supervises more when her stake B is high, when congruence α is low, and when the agent is unlikely to be informed. The agent works more when the principal is less likely to interfere.

4.4 Reaction curves under delegation

Under delegation, the first-order conditions are

$$(1 - e)B = g'_P(E),$$

$$(1 - \beta E)b = g'_A(e).$$

Interpretation: Delegation increases the agent's initiative because the agent's effort now buys formal as well as real authority. But the principal has weaker incentives to supervise, because her information is useful only when the agent is uninformed.

4.5 Participation view of delegation

In a multitask environment, let $x_k = 1$ when the principal keeps formal authority over decision k and $x_k = 0$ when authority is delegated. The optimal authority rule is summarized by

$$\frac{b_k(1 - \beta_k)}{B_k(1 - \alpha_k)} < \frac{1}{\mu} \Rightarrow x_k = 1,$$

$$\frac{b_k(1 - \beta_k)}{B_k(1 - \alpha_k)} > \frac{1}{\mu} \Rightarrow x_k = 0.$$

Interpretation: Delegation is more likely when the decision matters more to the agent, matters less to the principal, or when the agent's choice is relatively congruent with the principal's objectives.

4.6 Authority and communication

Communication reduces the principal's cost of becoming informed. The agent's gain from communication depends on authority:

$$\frac{du_A}{dK} = (\beta - e)b \frac{dE}{dK},$$

$$\frac{du_A^d}{dK} = (1 - e^d)\beta b \frac{dE^d}{dK}.$$

Interpretation: Under delegation, better-informed principals usually help the agent only when the agent is uninformed. Under P-formal authority, the agent may avoid communicating if a better-informed principal is more likely to overrule him.

4.7 Span of control and overload

When the principal supervises m subordinates, effort costs depend on aggregate supervision. In a symmetric equilibrium,

$$(1 - \alpha e)B = g'_P(mE),$$

$$(1 - E)b = g'_A(e).$$

The optimal span condition contains two terms:

$$\frac{du_P}{dm} = [R(E(m), e(m)) - E(m)g'_P(mE(m))] + m \frac{\partial R}{\partial e} \frac{de}{dm} = 0.$$

Interpretation: Overload can be optimal because it credibly limits the principal's ability to interfere. A larger span of control weakens monitoring, but this encourages subordinate initiative.

4.8 Performance measurement and monetary incentives

If the agent can receive wage w when the principal's profit is high, incentives feed back into control. The reaction curves become

$$(1 - \alpha e)B = g'_P(E),$$
$$(1 - E)b = g'_A(e)$$

with the interpretation that better monetary incentives can align the agent and reduce the principal's need to monitor.

Interpretation: Stronger performance measurement raises real authority for the agent because it gives the principal less reason to intervene. This is the logic behind decentralized profit centers and dual top management.

4.9 Urgency and sequential decisions

When the decision is time-sensitive, the principal chooses a stopping time S for investigation. The optimal stopping condition has the form

$$\frac{f(S)}{1 - F(S)} = \text{marginal value of delay and control.}$$

Interpretation: Urgency shifts real authority to the agent. When waiting is costly, the principal rubber-stamps the agent's proposal sooner even if she formally holds authority.

5 Theoretical design and credibility of the mechanism

5.1 What identifies the model's mechanism

- The model compares two authority regimes and derives equilibrium information acquisition under each.
- The core comparative static is that a principal's expected intervention reduces the agent's incentive to acquire information.
- Delegation raises initiative by making the agent's information more likely to matter.
- Centralization raises control by letting the principal block noncongruent decisions when informed.

Interpretation: The identification is theoretical: the paper isolates how decision rights change endogenous information production.

5.2 Why the formal/real authority distinction matters

- Formal authority is an ex ante contract or legal right.
- Real authority is an ex post consequence of information and credibility.
- The same formal structure can generate very different real authority depending on overload, measurement, urgency, or reputation.

Interpretation: This explains why organizations with similar formal charts can behave very differently in practice.

5.3 What the paper cannot fully prove

- The paper is theoretical and does not estimate the magnitude of real authority in firms.
- It abstracts from many-agent networks except through selected extensions.
- It treats projects and information acquisition in reduced form.
- Monetary incentives are introduced only as an extension, not as a fully general incentive contract.
- Empirical measurement of real authority remains difficult and is presented as an agenda for future work.

Interpretation: The contribution is conceptual and theoretical. Its strength is that it clarifies mechanisms that later empirical work can try to measure.

6 Model blocks

6.1 Extracted Block 1: Payoffs under P-formal authority and A-formal authority; Extracted Block 2: Basic trade-off between loss of control and initiative

Read:

- The first block gives the expected utilities under principal formal authority and delegated formal authority.
- Under P-formal authority, the principal has real authority when informed, and the agent has real authority only when the principal is uninformed and the agent is informed.
- Under A-formal authority, the agent has formal authority and therefore receives the full benefit of becoming informed.
- The second block presents the first-order conditions that define the basic control–initiative trade-off.
- A higher agent effort e lowers the marginal value of principal monitoring, and a higher principal effort E lowers the marginal value of agent initiative.

Economic message: Centralization and delegation are not merely two ownership forms. They are two different incentive systems for information acquisition.

about the n projects' payoffs; (iii) the party who does *not* have formal authority communicates to the controlling party a subset (of his choice) of the relevant projects' payoffs he has learned; and (iv) the controlling party picks a project (or none) on the basis of his information and the information communicated by the other party.

Payoffs under the two allocations of authority.—Under P-formal authority (integration), the utilities are

$$u_P = EB + (1 - E)e\alpha B - g_P(E) \quad (1)$$

and

FORMAL AND REAL AUTHORITY 9

$$u_A = E\beta b + (1 - E)eb - g_A(e). \quad (2)$$

That is, with probability E , the principal is informed and picks her preferred project. With probability $1 - E$, the principal is uninformed. With probability e , the agent is informed and suggests his preferred project. The principal then either learns from his recommendation her payoff attached to this project (hard information) or is still uncertain about whether the agent proposes her preferred project (soft information). Either way, the principal optimally rubber-stamps the agent's proposal.⁸

Under A-formal authority (delegation) when informed, the agent simply chooses his preferred project. When the agent is uninformed and the principal is informed, the principal suggests her preferred project, which is then implemented by the agent. So, with the superscript d for “delegation,” preferences are

$$u_P^d = e\alpha B + (1 - e)EB - g_P(E) \quad (3)$$

and

$$u_A^d = eb + (1 - e)E\beta b - g_A(e). \quad (4)$$

Note that the agent's lack of responsiveness to monetary incentives

(a) Payoffs under the two authority allocations

III. The Basic Trade-off between Loss of Control and Initiative

Consider the case in which the principal has formal authority. The reaction curves in information gathering for the principal and the agent are defined by the first-order conditions

$$(1 - \alpha e)B = g'_P(E) \quad (5)$$

and

$$(1 - E)b = g'_A(e). \quad (6)$$

The principal supervises more, the higher her stake and the lower the congruence parameter α and the agent's effort. The agent demonstrates more initiative, the higher his private benefit and the lower the principal's interference.

(b) Basic trade-off under P-formal authority

6.2 Extracted Block 3: Delegation reaction curves; Extracted Block 4: Participation view of delegation

Read:

- The delegation reaction curves show that delegation increases initiative because the agent expects to control the decision when informed.
- The principal still may acquire information under delegation, but her information matters only when the agent is uninformed.
- The participation condition shows when formal authority should be delegated across decisions.
- The ratio $b_k(1-\beta_k)/[B_k(1-\alpha_k)]$ compares how much the agent values authority with how costly delegated authority is to the principal.

Economic message: Delegation is more attractive when the agent cares more about the decision, the principal cares less, or preference congruence is high.

Both the delegation of formal responsibility described by Chandler (1962) in his study of Du Pont and General Motors and the recent move toward empowerment and teamwork were officially motivated by the need to increase initiative at lower layers of the hierarchy.

In terms of our model, when formal authority is delegated to the agent, the reaction curves of the principal and the agent become, respectively,

$$(1 - e)B = g'_r(E) \quad (7)$$

and

$$(1 - \beta E)b = g'_a(e). \quad (8)$$

Assuming again that $\{(7), (8)\}$ yields a unique, stable equilibrium (E^d, e^d) ,¹¹ one can show that $E > E^d$ and $e < e^d$. Delegation thus increases the agent's initiative; because the principal cannot over-

(a) Delegation reaction curves

ters α_k and β_k , and efforts E_k and e_k . To isolate the direct effects, we ignore the incentive constraints and take E_k and e_k as given. Let $x_k = 1$ if the principal keeps control of decision k and $x_k = 0$ if the decision is delegated. The optimal delegation pattern maximizes the principal's payoff subject to the agent's participation constraint:

$$\begin{aligned} \max_{\{x_k\}} \sum_k \{ & [E_k + (1 - E_k)e_k\alpha_k]x_k + [e_k\alpha_k + (1 - e_k)E_k](1 - x_k)\}B_k \\ \text{subject to} \quad & \sum_k \{[E_k\beta_k + (1 - E_k)e_k]x_k \\ & + [e_k + (1 - e_k)E_k\beta_k](1 - x_k)\}b_k \geq \bar{u}. \end{aligned} \quad (\text{IR})$$

Letting μ denote the multiplier of the participation constraint, we obtain the following intuitive result:

$$\begin{aligned} \frac{b_k(1 - \beta_k)}{B_k(1 - \alpha_k)} &< \frac{1}{\mu} \Rightarrow x_k = 1 \\ &> \frac{1}{\mu} \Rightarrow x_k = 0. \end{aligned} \quad (9)$$

(b) Relative willingness to pay for authority

6.3 Extracted Block 5: Authority and communication; Extracted Block 6: Span of control, overload, and initiative

Read:

- The communication block shows that an agent's desire to communicate depends on whether better-informed principal supervision helps or hurts him.
- A subordinate under P-formal authority may strategically withhold information if communication makes the principal more likely to overrule him.
- The overload block shows how a large span of control can reduce the principal's monitoring intensity.
- Overload is costly, but it can raise subordinate initiative by making the principal's nonintervention credible.

Economic message: Real authority can be created without changing the formal organization chart: overload, time pressure, or communication frictions can all make the agent the effective decision maker.

formed. Without loss of generality, let us index the principal's marginal disutility function by a communication parameter $K \in [0, 1]$, $h'_p(E, K)$ with $h'_p(E, 0) = g'_p(E)$ and $h'_p(E, 1) = \bar{g}'_p(E)$ for all E and $h'_p(E, K)$ decreasing in K . We just noted that the principal's equilibrium efforts $E(K)$ and $E^d(K)$ increase with K . From the envelope theorem, the impact of communication on the agent's utility (see eqq. [2] and [4]) is given by

$$\frac{du_A}{dK} = (\beta - e) b \frac{dE}{dK} \quad (10)$$

and

$$\frac{du_A^d}{dK} = (1 - e^d) \beta b \frac{dE^d}{dK}. \quad (11)$$

communicating the information, as can be seen from equation (10). The agent no longer derives a benefit from the principal's being ex ante well informed if he himself is well informed (e^d close to one). If the agent's private benefit is high enough so that e^d is indeed close to one, the independent agent does not bother incurring the cost of communicating ex ante information. In contrast, it may be the case (this can be checked with quadratic payoffs) that, provided that congruence is high enough,

$$\frac{du_A}{dK} > \frac{du_A^d}{dK} \approx 0. \quad (12)$$

In summary, the allocation of formal authority affects the agent's

(a) Authority and communication

cal subordinates. Each subordinate i screens in a set of tasks as described in Section II and learns the corresponding payoff structure with probability e_i . The principal's disutility of efforts is $g_p(\sum_i E_i)$, where E_i is the principal's probability of learning the payoffs of agent i 's activity. The subordinates' tasks are independent. There is a fixed cost f per subordinate.²⁰ So, the principal's payoff is

$$u_p = \sum_i [E_i B + (1 - E_i) e_i \alpha B - f] - g_p\left(\sum_i E_i\right). \quad (13)$$

Each agent's reaction curve is still given by

$$(1 - E_i) b = g'_A(e_i). \quad (14)$$

We assume that the equilibrium is symmetric²¹ and stable:

$$(1 - \alpha e) B = g'_p(mE), \quad (15)$$

$$(1 - E) b = g'_A(e). \quad (16)$$

Let $\{E(m), e(m)\}$ denote the solution to the system of equations ((15), (16)). Abusing notation, let

$$u_p(m) \equiv mR(E(m), e(m)) - g_p(mE(m)),$$

where

$$R(E(m), e(m)) \equiv E(m) B + [1 - E(m)] e(m) \alpha B - f$$

is the revenue per subordinate. When the envelope theorem is used and m is treated as a real number, the optimal span of control is

20

JOURNAL OF POLITICAL ECONOMY

obtained from

$$\frac{du_p}{dm} = [R(E(m), e(m)) - E(m) g'_p(mE(m))] + m \frac{\partial R}{\partial e} \frac{de}{dm} = 0. \quad (17)$$

The expression in brackets in (17) is the marginal profit associated with a unit increase in the span of control. An extra agent brings revenue R but requires attention E , which raises the cost of supervision by $E g'_p$, the "overload cost." The second term, in $(\partial R / \partial e) \times (de / dm) > 0$, is the "initiative effect" and measures the increase in the agent's effort associated with a reduction in oversight.

We shall say that a firm is in a situation of overload if the marginal profit of an extra employee, with employee behavior held constant, is negative. Equation (17) shows that *it is always optimal for the firm to be in a situation of overload* so as to credibly commit to rewarding initiative.²²

(b) Span of control and overload

6.4 Extracted Block 7: Performance measurement and monetary incentives; Extracted Block 8: Urgency and optimal stopping

Read:

- Performance measurement can increase real authority for the agent because incentives make the principal more comfortable with delegation or nonintervention.
- This gives a rationale for profit centers and decentralized organizations: better measurement supports stronger incentives and less central control.
- Urgency creates real authority because delay is costly.
- The principal may rubber-stamp the agent's project when the value of waiting for better information is smaller than the value of acting quickly.

Economic message: The paper gives a unified account of why real authority can shift downward in organizations even when formal authority remains centralized.

decision; when there is congruence, the agent also receives wage w . The case $u(w) \geq b$ can be labeled “aligned incentives.” The agent’s monetary incentives are powerful enough that he forgoes his private benefit and always recommends the principal’s preferred decision. Note that it is never optimal for the principal to set a wage just below $u^{-1}(b)$, because she can obtain congruent decision making by raising the wage slightly.

The reaction curves (5) and (6) under P -formal authority become

$$(1 - \alpha e) \tilde{B} = g_p'(E) \quad (18)$$

and

$$(1 - E) \tilde{b} = g_A'(e). \quad (19)$$

The main conclusion of this section can be drawn from these two equations. *A higher wage increases real authority for two reasons:* First, by raising the agent’s incentives, it makes it more likely that the agent will be able to recommend a project. Second, it reduces the principal’s incentive to monitor and therefore the probability that the principal overrules the agent.

Let $\{E(w), e(w)\}$ denote the solution of $\{(18), (19)\}$. Then the derivative of the principal’s profit with respect to w is

$$\frac{du_p}{dw} = (1 - E)\alpha(B - w) \frac{de}{dw} - [E + (1 - E)e\alpha]. \quad (20)$$

The first term on the right-hand side of (20) corresponds to the increase in initiative. The second term reflects the increase in the wage bill. The optimal wage (when incentives are not aligned) is equal to zero if α is small, but should be positive in general.²³

²³ The equilibrium may not be immune to the possibility of renegotiation. For suppose that the principal and the agent have ex ante agreed on a wage w and that

(a) Performance measurement and incentives

proposed a project, is therefore²⁶

$$\hat{u}_p = B \int_0^S \left(\frac{e^{-rt} - e^{-rT}}{r} \right) f(t) dt + \alpha B [1 - F(S)] \left(\frac{e^{-rS} - e^{-rT}}{r} \right),$$

where r is the principal’s rate of time preference. This objective function is quasi-concave, and the optimal stopping time either is zero if

$$\frac{\alpha}{1 - \alpha} \geq \frac{f(0)}{1 - F(0)} \frac{1 - e^{-rT}}{r}$$

(for α large enough, the principal rubber-stamps without even checking) or is given by the first-order condition

$$\alpha = \frac{f(S)}{1 - F(S)} (1 - \alpha) \left[\frac{1 - e^{-r(T-S)}}{r} \right]. \quad (21)$$

The left-hand side of (21) is the marginal cost of delaying the introduction of the product (divided by B); its right-hand side is equal to the conditional density of discovering the payoffs times the value

(b) Urgency and optimal stopping

7 Short summary

- The paper distinguishes formal authority from real authority.
- Formal authority is the right to decide; real authority is effective control over the decision.
- Real authority depends on who is informed and on whether the formal authority holder can credibly intervene.
- Centralization protects the principal’s control but discourages subordinate initiative.
- Delegation encourages initiative but risks the loss of control.
- The optimal allocation of formal authority depends on congruence, stakes, private benefits, and participation constraints.
- Communication is strategic: agents may communicate more under delegation and less under centralization when objectives are misaligned.
- Overload, urgency, reputation, multiple principals, and performance measurement can shift real authority even without changing formal authority.
- Better performance measurement can increase real authority by making monetary incentives more effective.
- The model explains decentralization, empowerment, M-form organizations, dual top management, lenient rules, and real authority inside formal hierarchies.

8 Conclusion

8.1 Core conclusion

Aghion and Tirole show that authority is two-dimensional. Formal authority determines who has the legal right to decide, but real authority depends on information, incentives, and credibility. A principal can

formally own a decision yet exercise little real control if she is uninformed or overloaded. Conversely, an agent without formal authority can acquire real authority by becoming better informed.

8.2 Economic intuition

The core intuition is the control–initiative trade-off. If the principal is too likely to intervene, the agent has little reason to gather information or propose projects. If the principal delegates too much, the agent becomes motivated but may choose projects that are misaligned with the principal’s objective. The optimal organization balances these forces rather than always maximizing centralized control.

8.3 Incremental contribution revisited

The paper’s incremental contribution is to make authority endogenous through information acquisition. It extends property-rights theory beyond ownership of assets and into the internal allocation of decision rights. It also shows that formal integration and real decentralization are compatible: a firm may be formally centralized but effectively decentralized because information and overload give subordinates real control.

8.4 Implications for organizational design

The model predicts that delegation is more likely when the agent’s private benefits are high, when the principal’s payoff stake is low, when preferences are congruent, and when initiative is especially valuable. It also predicts that high span of control, urgent decisions, weak monitoring capacity, and credible reputations for forbearance increase subordinate real authority.

8.5 Implications for management practice

The paper provides a rationale for empowerment and decentralization. These practices are not just cultural or motivational devices; they are credible ways to make employees’ information matter. Similarly, profit centers, performance pay, and M-form organizations can increase real authority by making managerial incentives more aligned with firm value.

8.6 Empirical implications

A natural empirical implication is that formal organization charts are insufficient for measuring authority. Researchers need measures of actual discretion, intervention frequency, reporting burdens, span of control, and information asymmetry. The model also suggests looking for settings in which legal control rights remain fixed but real authority changes because of overload, urgency, or performance measurement.

8.7 Limitations and boundaries

The model abstracts from many organizational complexities: multi-agent politics, repeated relational contracts, bargaining, career concerns, and richer incentive contracts. It also treats information acquisition in reduced form. These simplifications are useful for isolating the core mechanism, but they mean that the model is best read as a foundational theory rather than a complete description of all authority relationships.

8.8 Takeaway

The enduring message is that authority is not just who has the right to decide. It is who has the information, incentives, and credibility to make decisions that others accept. Organizations allocate formal authority, but

real authority is produced by the equilibrium of information acquisition, communication, monitoring, and intervention.